

Globalization

Globalization is the spread of products, technology, information, and jobs across national borders and cultures. In economic terms, it describes an interdependence of nations around the globe fostered through free trade. Globalization represents the global integration of international trade, investment, technology and cultures.



- **World Health Organization** defined Globalization as the “interconnectedness and interdependence of peoples and countries, is generally understood to include two interrelated elements: the opening of the international borders to increasingly fast flows of goods, services, finance, people and ideas; and the changes in institutions and policies at national and international levels that facilitate or promote such flows.

Importance of Globalization



- Globalization aims to benefit individual economies around the world by making markets more efficient, increasing competition, limiting military conflicts, and spreading wealth more equally.

Some of the benefits of globalization include:

- **Foreign direct investment:** increase at a much greater rate than the growth in world trade, helping boost technology transfer, industrial restructuring, and growth of global companies.
- **Technological Innovation:** Increased competition from globalization, which helps improve economic output by making processes more efficient.
- **Economies of Scale:** enables large companies to realize economies of scale that reduce costs and prices, which in turn supports further economic growth. However, this can hurt many small businesses attempting to compete domestically.

Some of the risks of globalization include:

- **Interdependence:** may cause regional or global instabilities if local economic fluctuations end up impacting a large number of countries relying on them.
- **National Sovereignty:** Could cause some leaders to become nationalistic or xenophobic.

The Economic Impact of Globalization on Developed Nations

- Flow of products and services with few barriers in the integration of market, investment and trade between nation. At some point, culture is also assimilated and trade as they exchange of ideas and traditions by trading.

Three major forces:

- **Product and financial markets** – increased economic integration in specialization and economies of scale.
- **Technology factor** – specifically telecommunication and information availability.
- **Deregulation** – pertains to the liberalization of capital account and financial services in products, markets, and geographic locations.

Power is the ability of a company to command both tangible and intangible assets that create customer loyalty, regardless of location.

Positive Aspects of Globalization

- Increased competition
- Stabilized security
- More wealth equality throughout the world

Advantages and Disadvantages of Globalization

Advantages of Globalization

Globalization allows us to pool all our resources together

One of the best examples of globalization within our lifetime is the construction of the International Space Station. The cost to construct the ISS was \$150 billion. Compared to the Mir station at \$4.2 billion, the price tag is astronomical. When the first component for the ISS was launched in 1998, five different programs came together to join in ownership, cost, and operations. The United States, Russia, Canada, Europe, and Japan are all involved in the financing and continued operations of the program. When nations work together to fund common goals, then more money becomes useful for needs other than national defense



Globalization would also reduce labor exploitation issues.

When borders become less restrictive around the world, people tend to move to locations where their best opportunities exist. Under the current structure of our planet, impoverished nations with a lower standard of living offer wages that the developed world would find abysmal. Someone in Bangladesh making clothes for 10 hours per day earns less in a month than some workers in the U.S. earn before lunch. By focusing on globalization, we could reduce child labor issues. Human trafficking concerns would be limited because of more border freedom. People could live, work, or go where they please with fewer restrictions, making it easier to chase their dreams.



Globalization reduces the prospects of tyranny.

As the world moved slowly toward globalization in the 20th century, the nations realized that having a concentrated power with one administration reduced the likelihood of tyranny in pockets around the globe. Although there have still be issues with government oppression, including the chemical attacks on populace centers in Syria, the number of incidents is slowly declining. When we're able to move toward a global-centric society instead of a nation-centric one, these issues will continue to decline over time.



Globalization improves communication access

The Trump Administration announced new travel restrictions in September 2017 to focus on 8 countries: North Korea, Chad, Libya, Iran, Syria, Somalia, Yemen, and Venezuela. "Making America Safe is my number one priority," President Trump tweeted when announcing this decision. "We will not admit those into our country we cannot safely vet." Under a globalization perspective, people would have their risks associated by a central perspective instead. It would be like the United Nations vetting immigrants instead of the individual country. By reducing border restrictions, we improve communication access because we're no longer restricting the movements and actions of people on a per-nation basis.



*Globalization would help
the developing world
progress faster.*

Most of the world today is not developed. Outside of about 40 countries which have gone through their own version of the Industrial Revolution, the rest of the population still struggles as a primarily agricultural society. By reducing border restrictions, creating common payment formats, and opening product access by reducing export barriers, more people could improve their way of life. Higher incomes often lead to lower maternal and infant mortality rates too, which means we'd be saving lives with this effort.



Globalization would reduce currency manipulation problems

There are three primary currencies traded in the world today: The Dollar, the Euro, and the Pound Sterling. When a nation offers access to a weaker currency, those with stronger currencies buy and sell more often with them. It offers better value than spending at home. Globalization would reduce the efforts made to build weakness or strength into these currencies to influence local markets. We'd be working toward a society where economic growth occurs on a global scale instead of in only local economies.



Globalization encourages free trade.

Borders create restrictions to the free flow of goods and services. One example of this issue is a duty and taxes paid on imported goods originating in the U.S. when purchased in Canada. These taxes apply on luxury items and other items of high value. The HST in Canada may be collected at a rate of 13%. Canadians use shipping service receptacles at locations like Point Roberts, WA to get around this tax simply because the laws haven't globalized like our access to goods. There are currently over 1,500 different restrictions in place with the global import/export market right now.



Globalization could create more employment opportunities.

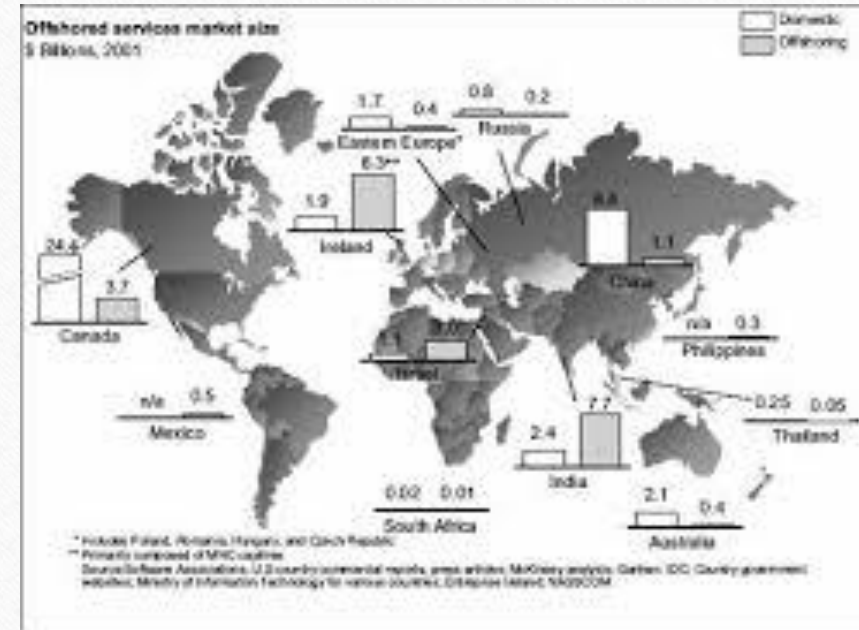
With fewer barriers to the import/export market, the cost of producing goods or offering services would decline without affecting the profit margins of companies. Consumers would benefit from the lower prices, consume more, and create additional job opportunities around the world. By creating an environment where free trade encouragement readily exists, more innovation, creativity, and engagement would occur at every level of society.



Disadvantages of Globalization

Globalization may encourage more offshoring instead of less.

With fewer restrictions in place at the national level, some businesses may use offshoring to their advantage. Even if they kept jobs local, the threat of sending jobs to a different, cheaper region overseas could be used to justify lower wages at home. The end result of an effort to remove borders would be an increase in wages in the developing world, but a decrease in developed countries. Many households could see their standard of living go down if consumable price decreases don't occur simultaneously.



The dot-com bust of 2000 boosted offshored services to a formidable market size even in 2001 that continues to rise today at an exponential rate. (Graphic courtesy McKinsey & Company)

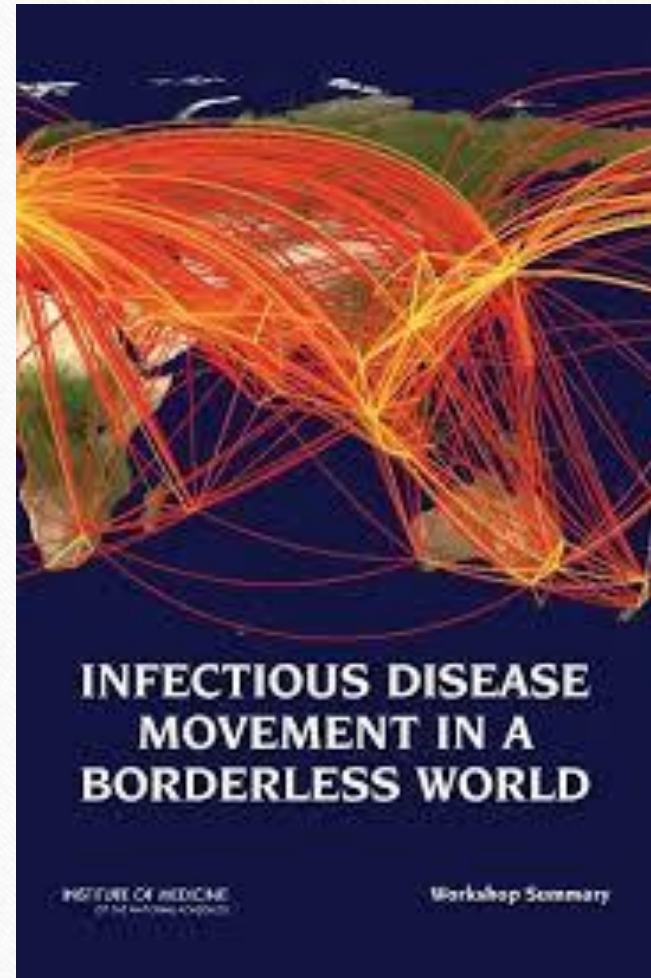
Globalization benefits the wealthy more than the poor.

Value-added taxes above 25% exist in some nations. Tariffs above 70% exist for some products. Unless borders are completely removed, the advantages of globalization are challenging to achieve. The people who have the power to dictate policy would reap the most significant rewards. Those with money to invest would see their bank accounts continue to rise. At the same time, households living paycheck-to-paycheck would struggle to access what they require, suppressing their ability to pursue a better job.



Globalization would encourage disease transfer.

The outcome of the Columbian Exchange was profound at the time. Over 90% of some population centers died because of their exposure to smallpox, chickenpox, and other diseases that the Europeans were somewhat immune to at the time. The Europeans brought back syphilis and other diseases as well. If global travel restricts eased, then issues with malaria and tropical disease could spread to portions of the world where exposures are minimal. Tuberculosis, certain influenza strains, and other communicable disease could produce outbreaks at epidemic levels.



Globalization could reduce social safety net programs

Most nations today offer those in extreme poverty access to safety net programs for basic supplies. Even in the United States, programs like WIC and SNAP offer food and care access to those who cannot afford it on their own for whatever reason. When we reduce or eliminate borders, there would be a likely shift in social programs to benefit those earning less than \$2 per day while ignoring the needs of those at home. Households living in poverty in the U.S. or United Kingdom fit into a different definition when compared to global poverty.



Globalization would create a new system of politics

We've already received a sneak peek of what a global society would be like from a political perspective. The individuals and organizations who spend the most to lobby politicians would receive the best chance of having their needs met first. We've seen billions spent in U.S. elections lately to influence legislation and policy to become favorable toward specific outcomes. This issue would translate to a global economy, where only the richest and most influential would influence laws which would impact everyone.



Globalization would not prevent resource consumption

The goal of globalization is to equalize patterns of consumption for populations around the world. Even though there would be movement toward doing so, there is no getting around the fact that the wealthiest nations will still consume the most resources. The 20 richest countries in the world today consume almost 90% of the planet's resources each year. The United States constitutes 5% of the global population right now, but it consumes 24% of the world's energy as a country. When you look at the per capita consumption rates of energy globally, one American consumes as much energy as 31 people in India. If you go to a developing nation, it takes 370 Ethiopians to use the same amount of energy that a single U.S. citizen uses to meet their needs.





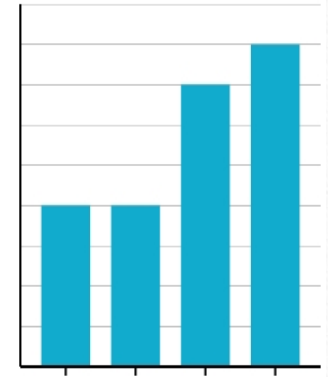
Factors Affecting Globalization

- **Technology (communication):** cost efficiency of many technologies is increasing, and these technologies are beginning to impact everyday life.
- **Transportation:** Faster and cheaper transportation systems, frequent deliveries of parts and finished products.
- **Deregulations:** Privatization additionally materialized, and enormous areas of business were currently receptive purchase or take over.
- **Removal of capital exchange controls:** This allowed businesses to maneuver cash from one country to a different in an exceedingly seek for higher business returns.



- **Free Trade:** This makes trade cheaper and thus additional engaging to business

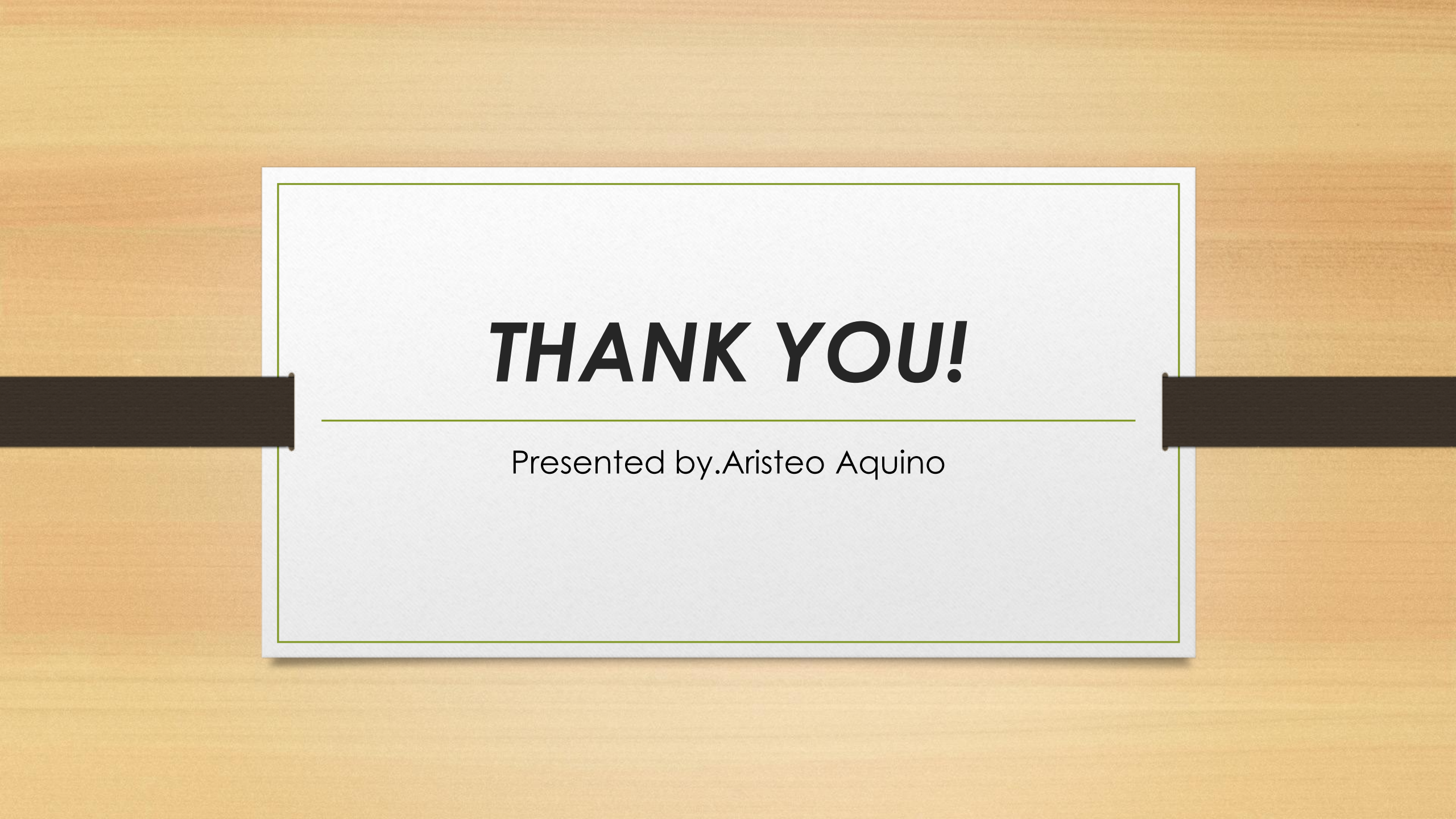
- **Containerization:** The costs of ocean shipping have come down, due to containerization, bulk shipping, and other efficiencies.
- **Technological change:** Rapid and sustained technological change has reduced the cost of transmitting and communicating information
- **Economies of scale:** If the MES is rising, a domestic market may be regarded as too small to satisfy the selling needs of these industries.
- **Differences in tax systems:** The desire of businesses to benefit from lower unit labor costs and other favorable production factors.
- **Less protectionism:** Old forms of non-tariff protection such as import licensing and foreign exchange controls have gradually been dismantled.
- **Growth Strategies of Transnational and Multinational Companies.**





Other Factors Influencing Globalization

- **Historical:** The trade routes were made over the years so that goods from one kingdom or country moved to another.
- **Economy:** The cost of goods and values to the end user determine the movement of goods and value addition.
- **Political:** The political issues of a country make globalization channelized as per political bosses.
- **Industrial Organization:** The technological development in the areas of production to expand their operations.
- **Technologies:** The stage of technology in a particular field gives rise to import or export of products or services from or to the country.



THANK YOU!

Presented by Aristeo Aquino